



Uganda Revenue Authority
DEVELOPING UGANDA TOGETHER

A GUIDE TO TAXATION OF THE AGRICULTURAL SECTOR

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OVERVIEW OF THE SECTOR

The agricultural sector remains the largest employer, accounting for the largest number of workers in the Ugandan economy. Around 7 million households, about 80 percent of all households in Uganda, either managed or farmed land and/or raised livestock in 2019. This percentage rises to 87 percent when female household heads are included (AAS, 2019).

Uganda is Africa's leading coffee exporter and the second-largest producer, but it sends only 5.7% of its exports to the United States. The Uganda Coffee Development Authority reported total exports of 5.9 million 60-kilo bags valued at \$877 million in 2022, up from 6.5 million 60-kilo bags valued at \$627 million in 2021. Eighty percent of Uganda's land is arable, but only 35% is being cultivated. In FY 2022/23, agriculture made up about 24% of GDP and 35% of export earnings. The UBOS estimates that approximately 68% of Uganda's working population is employed in agriculture (ITA, 2023).

The Agricultural sector includes the exploitation of vegetal (relating to plants) and animal natural resources, comprising the following activities: growing of crops, raising and breeding of animals, harvesting of timber and other plants, animals, or animal products from a farm or their natural habitats.

According to the International Standard Industrial Classification of All Economic Activities (ISIC), the three major sections of agriculture include: crop and animal husbandry (rearing of animals and growing of crops), Forestry and logging (cutting down trees), and Fishing and aquaculture, which are practiced in two ways: Commercial and subsistence farming.

What is Commercial and Subsistence agriculture?

In Agriculture, there is a value chain that involves several players at the different points in the production channel and these are involved in a wide range of activities which include; input supply, farmer organization, farm production, post-harvest handling, processing, provision of technologies of production and handling, grading criteria and facilities, cooling and packing technologies, post-harvest local processing, industrial processing, storage, and transport.

It has been observed that whereas the main players at the top of the chain are tax compliant, for example, the players in the dairy sector who have increasingly contributed to tax (tax growth of 57% from 14bn in 2014/15 compared to 22bn in 2015/16), the other players in the industry i.e. the farmers (milk suppliers), transporters and others in the chain, have not complied concerning registration for taxes.

Whereas there is a misconception that farming is tax-exempt, this is NOT true, as Section 35 of the Income Tax Act covers farming expenses when calculating chargeable income. Generally, farming can be practiced on either a commercial or a subsistence basis.

What is Commercial Farming?

Under commercial farming, crops are grown and animals are reared mainly for sale in the market to generate income. i.e., for commercial purposes.

Commercial farming is a type of agriculture that involves the production of crops and livestock for profit and sale. Commercial farmers use modern technology, large-scale operations, and advanced techniques to meet consumer demand and increase production efficiency.



Commercial farmers often use fertilizers and pesticides, crop rotation, and focus on market trends to maximize yield.

What is Subsistence farming?

Here, crops are grown mainly to meet the farmer's family's basic needs. Subsistence farming is a type of agriculture where the majority of the crops or livestock are used to support the farmer and their family, with little to no surplus for sale or trade. It's typically associated with small farms and family members working in agriculture as a part-time activity.

Just like any business enterprise, agriculture too has challenges that are particular to it, some of which include:

- High level of informality
- Illiteracy of the players
- Numerous small, segmented players.
- Poor record-keeping.

The sector is labor-intensive, employs a large number of casual laborers throughout the value chain, has a very volatile market, and highly fluctuating prices for products depending on the geographical location and seasonality. For some agricultural products, even the world prices have an effect.

Please note:

All players in the agricultural supply chain are required to register for the relevant tax types and account for the applicable incomes. The players in this sector should, therefore, endeavor to register for a TIN and also transact with businesses that are registered.

Please Note: If a person undertaking horticulture as a business in Uganda incurs expenditure of a capital nature relating to the acquisition or establishment of a plant or the construction of a greenhouse:

- You will be allowed a deduction of an amount equal to 20% of the amount of expenditure in the

year of income in which the expenditure was incurred and in the following four years of income in which the plant or greenhouse is used in the business of horticulture.

- Expenditure of a capital nature incurred on the establishment of a horticultural plant shall include expenditure incurred in draining or clearing land.

You must legalize your activities if you are dealing in commercial farming by ensuring that your business is registered with several Government agencies. URA will also register you and issue you with a Tax Identification Number (TIN).

RIGHTS AND OBLIGATIONS OF TAXPAYERS

Rights	Obligations
• You have a right to equity: • Tax laws and procedures shall be applied consistently to you • All your tax affairs will be handled with fairness • You and your agent(s) shall be presumed honest until proven otherwise • You shall always pay the correct tax • Your tax affairs shall be kept secret • You and your authorized agent(s) shall be provided with clear, precise and timely information • You will receive courteous and professional services at all times	• Ensure that you voluntarily register with Uganda Revenue Authority as a Taxpayer. • File correct Tax Returns, Customs Entries or any forms relating to taxes and other revenue. • Pay the correct tax at the right time and place • In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with URA's authorized staff. • Be honest with URA. • Quote your TIN for all dealings with URA. • Comply with all the taxation requirements and regulations. • Make full disclosure of information and correct declaration of all transactions at all times. • Do not indulge in any form of tax evasion and other illegal practices. • Request a proper receipt for all your purchases and keep records properly.

OBLIGATIONS

1. REGISTRATION

A. Business Formalisation/Registration

All businesses in Uganda are required to register with the Uganda Registration Services Bureau (URSB) to formalize their legal status. At URSB, a business will receive either a Certificate of Registration (if registered in your name or Business Name or incorporated outside Uganda) or a Certificate of Incorporation if registered as a Limited entity. This will enable you to register and get a Tax Identification Number (TIN) from URA, either as an individual. Or Non-Individual.

B. Tax Registration

Wholesalers and retailers should apply and obtain a Tax Identification Number (TIN). A TIN is a 10-digit number that acts as an account of a taxpayer with the URA. It is obtained free of charge, and all taxpayers are required to quote this number in all their communications with URA and business transactions.

Please note: Any person applying for a license or any form of authorization from a local authority,

Government institution, or regulatory body necessary for purposes of conducting any business in Uganda should present a TIN.

One can register either as an individual or a non-individual.

(i) Individuals

An individual is a living person who applies for a TIN. The required documents include:

- A copy of the National identification card or,
- Any two of the following identification documents: Passport, Employee ID, NSSF Card, Voter's Card, Driving License, Work Permit, Village Identity Card, Financial Card, Certified Bank Statement (past 90 days), VISA card Number, Diplomatic Foreign Affairs ID, Refugee ID.

Please note that the following categories of individuals need additional requirements.

a. Foreign Director: This is a person employed by a company in a position of directorship.. To qualify for a TIN in Uganda, resident foreign directors are required to have the following documentation:

- A valid passport, and
- Either a Refugee ID, and a work permit for a non-citizen (non-East African).

b. Non-resident director: These require at least two valid identification documents, ie valid passport, work permit, and driving license among others.

Note: A work permit is not mandatory for a non-resident foreign director, as it is a requirement to have a TIN to process a work permit.

c. A minor: This is a person who is under 18 years of age. For minors to qualify for a TIN, a copy of a Legal / Court document of guardianship shall be attached.

(ii) Non-Individuals

A Non-Individual is an entity that is not a natural person, and it includes a partnership, a trust, a company, a retirement fund, a government, etc.

The required documents include:

Entity Type	Entity Sub Type	Documents required (M - Mandatory, O- Optional)
Company	Public Company	• Certificate of Incorporation (O) • Memorandum between Government and Entity (M)
	Private Company	• Company form 7(20) (M) • Certificate of Incorporation (M) • Company form 8 (O)
	Foreign Company	• Certificate of Registration (M) • Company form 19 (M) • Company form 21 (M)

Entity Type	Entity Sub Type	Documents required (M - Mandatory, O- Optional)
Other Entity types	Club, Society or Associations	• Certificate of Registration (M) • Club Constitution (M)
	Estate or Trust	• Certificate of registration (M) • Trust deed (M)
Partnership	General Partnership	• Partnership deed (O) • Certificate of Registration (M) • Statement of Particulars (M)
Partnership	Limited Liability Partnership	• Certificate of Registration of the Limited Liability Partnership (M) • Statement of Particulars (M) • Memorandum and Articles of Association (M)
Joint Venture (JV)	NB: • Where the name of the JV is different from the corporate names of all partners • Where a partner in the JV is a resident person, the JV shall be registered as a resident partnership. • Where none of the partners in the JV is a resident person, the JV shall be registered as a non-resident partnership.	• Joint venture agreement duly endorsed by the Registrar of Companies Registration/ incorporation documents shall be required for the individual partners in the JV • Certificate of Registration of the JV under the Registration of Business Names Act
Non-Government Organization (NGO)	NGO	• NGO registration certificate • Certified NGO resolution

How to get a TIN

a. For Instant, TIN application (for individuals who are citizens of Uganda);

- Go to the URA website, ura.go.ug.
- Click on the icon marked “Get a TIN” to access the instant TIN link.
- Click the Instant TIN button to access the form.
- Click into the circle to select “Individual (For individuals)”.
- Input your National ID.
- Fill in the correct details, such as title, marital status, surname, and first name.
- Select the source of income and fill in the address, email, and contact details.
- Select that you are not a robot, and click submit.
- Your TIN will be sent to you instantly on the registered contacts on your application i.e. mobile phone and e-mail address.

b. Through the URA Web portal:

- Visit the URA web portal <https://ura.go.ug> and on the home page, click 'Get a TIN'
- Next, click 'TIN Registration- Non-Individual'
- On the Non-Individual TIN application page, click 'Click to apply for a non-individual TIN'
- Select 'New form' and under Download template for registration, click 'TIN Non-Individual' to download the registration template.
- Save the downloaded registration template at a preferred location. It is an MS Excel template (Please do not rename it.)
- Open the downloaded registration template and enable macros or content. (Please do not cut and paste any values in the sheet)
- Fill all the required fields of the registration template. Fields labeled with a red asterisk (*) are mandatory fields.
- After filling the required fields of the registration template, you need to validate the data by clicking on the VALIDATE button. It is located on the last worksheet before HELP. The purpose of the VALIDATE button is to check for completeness, consistency, and accuracy of the provided data.
- If there is an error, you will be directed to the error page where you can correct the errors and validate again.
- If there is no error, click on "YES" to "save this template as an upload file". Save the upload file at a desired location.

Please note: At the point of saving the upload file, do not rename it.

- Return to the same page on the URA portal where you downloaded the registration template and upload the saved upload file. On this same page, download and print the terms and conditions.
- Click submit. Upon submission, an acknowledgement receipt will be displayed with two buttons at the bottom: Print and Print Form.
- Click 'Print' to print the acknowledgement receipt.
- Click 'Print form' to print the filled application form.
- The acknowledgement receipt will also be sent to the taxpayer's email address. Please take note of the reference number and search code that are indicated on the e-acknowledgement receipt, as you will use them to check the status of the TIN application.
- After printing the application form, fill out and **sign the section for DECLARATION and CERTIFICATION**, and let the referee sign.
- The TIN applicant is required to submit a signed hard copy of the filled application form, signed terms and conditions, and the necessary identification documents to the nearest URA office.

Please note that these documents can be submitted before or after approval of the TIN.

c. Visiting a URA-designated office

- In case a taxpayer cannot register online, he or she can walk into any of the URA offices or One Stop Centre located in any Municipality or KCCA division, and assistance shall be provided to complete the registration process. Ensure that you move along with the necessary documents as listed above.
- In case of failure to do any of the above, call: 0800217000 or 0800117000 (Toll-free) or WhatsApp 0772140000 or send an email to service@ura.go.ug

Benefits of acquiring a TIN

Acquiring a TIN enables you to:

1. Import or export goods and services within and outside Uganda.
2. Claim tax benefits that accrue to you e.g., tax refunds etc.
3. Access bank loans.
4. Acquire a trading license from the Local Government / KCCA to undertake business in their jurisdiction.
5. Register your Motor Vehicle
6. Process land transactions above 10 Million Shillings.

2. RECORD KEEPING

What kind of records do I have to keep?

A Wholesale and Retail business has to keep records relating to all its transactions. It is important to always have records that are dated so that you can understand which reports relate to what period.

These include;

- Record of income realized in a given year
- Record of receipts/invoices and payments
- Record of vaccination details if applicable
- Record of debtors and Creditors
- Payroll for your employees if applicable
- Import schedules if applicable
- Contracts for supply
- Bank statements
- Utility bills
- Stock records
- Asset registers

Guidance on Proper Record Keeping

It is very important for taxpayers to;

- Keep proper records of all business transactions in the English language;
- Keep records such that it is easy to determine your tax liability;
- Keep records for five years after the end of every tax period to which they relate for future reference.
- In case a record is necessary for a proceeding that started before the end of the 5-year period, a taxpayer shall keep the record until the end of the proceedings.
- The records kept should contain sufficient transaction information and should be saved in a format that is capable of being recovered and converted to a standard, understandable record format.
- A taxpayer who wishes to keep records in a different language or currency shall apply to the URA in writing with clear reasons to the commissioner.
- Where a record is not in English, the taxpayer will be required to meet the cost of translation into English by a translator approved by the Commissioner.
- However, the taxpayer shall file a tax return or provide other correspondence with the Commissioner in English.

What is the penalty for failure to maintain proper records?

The penalty for knowingly or recklessly or not failing to maintain records as required under any tax

law is a fine not exceeding Shs. 2,000,000 or imprisonment not exceeding six years or both on conviction.

Note: A taxpayer who cannot effectively handle his tax matters can appoint a tax agent to transact with URA on his/her behalf.

3. FILING TAX RETURNS

A tax return is a declaration in a form prescribed by the Commissioner, on which a taxpayer reports his or her income for the tax period as a way of self-assessment for taxation purposes. A taxpayer registered with URA for any tax type other than Pay as you earn (PAYE) must submit a return for the tax period as per the respective tax law.

A tax period is the duration for which a return is required i.e. a year, month or week. A due date is the deadline for filing a return beyond which a person is required to pay a penalty. URA has facilitated the taxpayers to fulfil this obligation by introducing the electronic filing of tax returns

Return type	Due date and filing remarks
Income tax	- Every taxpayer is required to furnish a return of the provisional tax estimate (i) For non-individuals: On or before the last day of the sixth month of the year of income in respect to the taxpayer's liability. (ii) For individuals: On or before the last day of the third month of the year of income in respect of a taxpayer's liability. - All taxpayers are required to submit final Income tax returns (including rental income returns where applicable) for each year of income not later than the sixth month after the end of the year of income. Those with an annual turnover above 500 million shillings must file their income tax returns with audited financial statements prepared by an accountant registered by the Institute of Certified Public Accountants of Uganda.
VAT	All VAT registered taxpayers are required to submit Value Added Tax returns (VAT) for each month by the 15th day of the following month.
PAYE	All PAYE registered taxpayers are required to submit Pay As You Earn (PAYE) tax returns for each month by the 15th day of the following month.
Excise duty	All taxpayers registered for Excise duty are required to file Excise duty returns for each month by the 15th day of the following month.
Withholding Tax	All designated taxpayers registered for withholding tax are required to file WHT returns for each month by the 15th day of the following month.
Others	In case of any return required to be submitted under the tax law, it must be done within the specified period under the tax law.

Note

- All tax returns must be submitted in the prescribed format, and the commissioner can appoint any other person to assist a taxpayer who fails to file at his/her cost.
- The law provides for a separate quarterly return for non-resident suppliers of services deemed to be supplied in Uganda when made to non-taxable persons.

4. PAYMENT OF TAX

All operators in the wholesale and retail sector are required to pay their tax liabilities by the due dates of filing the respective returns to avoid the accumulation of interest. Thus, any tax payable is a debt to the Government of Uganda. A taxpayer can apply in writing to the Commissioner for an extension to pay tax at a later date, but this does not change the payment due date, and thus interest will be charged on any outstanding liability from the date when the payment was due

Procedure for paying tax

- Taxes are paid through registering a payment online through the URA web portal or using the Ask URA App (downloadable from Google Store) or dialing URA's USSD code *285# and then effecting the payment either in the Bank, through Mobile Money or Pay way services.
- To register a tax payment online, visit the web portal (ura.go.ug), click on 'Make a payment', and follow the prompts.
- Select the tax head, go to the details of Tax Type, select the appropriate tax head from the drop-down, and input the tax amount.
- Fill in the details of the Taxpayer and mode of payment, enter the text from the given image (Please note that the letters are case sensitive and there is no space between values)
- Click the 'Accept and Register' button and print out the Payment Registration Slip that appears on submission of payment details, or take note of the Payment Registration Number (PRN) on the slip.
- To effect payment, take the printed payment registration slip to the bank or use the PRN on the payment slip to pay through Mobile Money, Payway or Visa/ Master Card Services.

TAXES APPLICABLE

1. INCOME TAX

This is a tax imposed on a trader's taxable income at specific rates and is charged on every person who has chargeable income for each year of income. This may be categorized into:

a. Presumptive tax

The concept of small businesses in taxation was developed to accommodate low-income taxpayers who would ordinarily find it difficult to prepare formal accounts. The preparation of these accounts would usually require the engagement of a professional accountant, which is costly. In order to address this challenge, the Income Tax Act provides for an arrangement of taxing small businesses based on gross turnover or total sales. This is commonly referred to as presumptive tax.

For income tax purposes, a small business taxpayer is a resident taxpayer whose gross turnover from all businesses owned by such a person in a year is more than ten million shillings but does not exceed one hundred fifty million shillings. The term TURNOVER refers to one's total sales in a year.

However, persons in the following business activities are excluded from presumptive tax: medical, enter, architectural, accounting and audit, legal, dental, construction, engineering any other professional services, public utility, and public entertainment services.

Note: Persons outside the presumptive scheme are required by law to file provisional and final income tax returns and be assessed to tax based on chargeable income for the year.

Schedule for the computation of “presumptive” income tax for small businesses

Gross turnover per annum	With records	Without records
Not exceeding UGX 10 million	NIL	NIL
Exceeding UGX 10 million but does not exceed UGX 30 million	0.4% of annual turnover exceeding 10 million	UGX 80,000
Exceeding UGX 30 million but does not exceed UGX 50 million	UGX 80,000 plus 0.5% of annual turnover exceeding UGX 30 million	UGX 200,000
Exceeding UGX 50 million but does not exceed UGX 80 million	UGX 180,000 plus 0.6% of annual turnover exceeding UGX 50 million	UGX 400,000
Exceeding UGX 80 million but does not exceed UGX 150 million	UGX 360,000 plus 0.7% of annual turnover exceeding UGX 80 million	UGX 900,000

Note: No deductions are allowed in respect of any expenditure or losses, and the assessed tax is final for presumptive taxpayers; however, one has an option of filing returns

Key features of the presumptive tax regime

1. The tax is computed on the basis of a GROSS TURNOVER and is a final tax.
2. No deductions are allowed in respect of any expenditure or losses.
3. No tax credit is allowed to be offset against the final tax except in the following cases:
 - A tax credit arising out of withholding on receipt is included in the gross turnover of the taxpayer
 - Any provisional tax paid against the taxpayer’s gross turnover during the year of Income

Note: A taxpayer who would ordinarily fall under the presumptive tax regime may opt out by notifying the Commissioner in writing to be assessed on chargeable income. The chargeable income method involves the preparation of financial statements by the taxpayer. Such a taxpayer is required to submit the election notice together with their Annual Income Tax Return for that year by the due date of filing such return of income.

b. Individual Income tax

The income tax rate for individuals depends on the income bracket in which the individual falls. Resident individuals enjoy a tax-free annual income threshold of UGX. 2,820,000 per annum. The balance is taxed at 10%, 20% or 30% depending on the income bracket. Individuals who earn above UGX 120,000,000 per annum pay an additional 10% on the income above UGX 120 million.

N.B CY represents chargeable income.

Rate of tax for Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 2,820,000 Per annum.	Nil
Exceeding Ushs.2,820,000 but not exceeding 4,020,000 per annum	$(CY - 2,820,000UGX) \times 10\%$
Exceeding Ushs.4,020,000 but not exceeding 4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 120,000UGX$
a) Exceeding Ushs 4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 300,000UGX$
b) Above 120,000,000 per annum	b) $[(CY - 4,920,000UGX) \times 30\% + 300,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Rate of tax for Non-Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.4,020,000 per annum	10%
Exceeding Ushs.4,020,000 but not exceeding Ushs.4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 402,000$
a) Exceeding Ushs.4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 582,000UGX$
b) Above 120,000,000	b) $[(CY - 4,920,000UGX) \times 30\% + 582,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Illustration 1 for an individual business:

Description	Amount	UGX
Sale of Agricultural Produce (Milk, Poultry, sugarcane, cocoa, fish, Timber)	263,000,000	
Add other income		
(Sale of agricultural by product-Molasses, husks, animal by-products)	39,200,000	
Total revenue from agricultural activities		302,400,000
Less: Farm Costs		
Cost of Seedlings, seeds, additional /production animals, etc.	14,960,000	
Cost of actual farming Labor at the farm	52,800,000	
Cost of direct overheads (direct power, water, etc.)	14,000,000	
Total Production Costs		(81,760,000)
Other costs:		
Less Administrative costs		
Staff salaries	7,000,000	
Office power	2,000,000	
Water	1,000,000	
Rent	6,000,000	
Total administrative costs	(16,000,000)	

Description	Amount	UGX
Total costs	(97,760,000)	
Net Profit / Loss (Chargeable Income)	204,640,000	

Please note that the income exceeds UGX 120 million and therefore, using the schedule above, the tax would be computed using the formula below:

$$[(CY - 4,920,000) \times 30\% + 300,000] + [(CY - 120,000,000) \times 10\%]$$

Illustration

Chargeable income (CY) = 204,640,000

$$\Rightarrow [204,640,000 - 4,920,000) \times 30\% + 300,000] + [(204,640,000 - 120,000,000) \times 10\%]$$

$$\Rightarrow (199,720,000 \times 30\% + 300,000) + (84,640,000 \times 10\%)$$

$$\Rightarrow 59,916,000 + 300,000 + 8,464,000$$

$$\Rightarrow \text{Tax payable: } \mathbf{68,680,000}$$

Please note that; where the business owner declares a loss, it's carried forward to the next accounting period, and therefore the tax payable is Nil (Zero).

Illustration 2 for an individual business:

Mr. Katende received 160 million UGX from the supply of his agricultural produce to Alam Hotel in Wakiso during 2024/2025

From the beginning of the year, he incurred the following costs.

	AMOUNT (UGX)
I. Production costs (which include the purchase of seedlings, land clearing, planting, and weeding)	25,000,000
II. Direct Costs (Transport)	8,000,000
III Administrative costs (including annual salary for 1 employee)	24,000,000
Annual rent	12,000,000
Operating expenses	14,000,000
Renovation of his home	9,000,000

Calculate his Income Tax Liability for 2024/2025.

Solution

Description	AMOUNT (UGX)	
Gross Income		160,000,000
Production costs	25,000,000	
Direct costs	8,000,000	
Administration costs (including the annual salary for 2 employees)	24,000,000	
Annual rent for the store	12,000,000	
Operation expenses	14,000,000	
Total expenses		(83,000,000)
Net Profit / Loss (Chargeable Income)		77,000,000

What is the Income Tax Liability?

Since his chargeable income falls in the fourth category, then Tax Liability =
(77,000,000- 4,920,000) * 30% + 300,00021.924m

Note that the expense incurred when renovating his home (9m) is not an allowable expenses in the generation of his gross income from agriculture.

Note that the expense incurred when renovating his home (9M) does not account for the allowable expenses in the generation of his gross income.

c. Non-Individual Income Tax (Corporation Tax)

This is imposed on all corporate entities (Companies) engaging in commercial farming activities. Income Tax is charged at a rate of 30% on the profits from business (Chargeable Income).

Illustration on the Determination of the Tax liability for companies (Non- individuals)

Determining tax liability for companies (Non-individuals)?

Description	Amount (UGX)	UGX
Sale of Agricultural Produce	263,000,000	
Add Other income		
(sale of agricultural by product-Molasses, husks, animal by-products)	39,200,000	
Total revenue from agricultural activities		302,400,000
Less: Costs		
Cost of Seedlings, seeds, additional /production animals, etc.	14,960,000	
Cost of actual farming Labor at the farm	52,800,000	
Cost of direct overheads (direct power, water, etc.)	14,000,000	
Total Production Costs		(81,760,000)
Other costs:		
Less administrative costs		
Staff salaries	7,000,000	
Office power	2,000,000	
Water	1,000,000	
Rent	6,000,000	
Total administrative costs	(16,000,000)	
Total costs	(97,760,000)	
Net Profit / Loss (Chargeable Income)	204,640,000	
Tax Thereon (CY * 30%)		61,392,000

Illustration

⇒ CY * 30%

⇒ 204,640,000 * 30%

⇒ Tax payable = UGX 61,392,000

An Agricultural company earning a gross turnover above 150 million UGX should file a return and calculate tax payable using the tax rate of 30%.

Note. A company earning a gross turnover below 150 million UGX has an option of either filing a return and paying using the rate of 30% or making a presumptive payment.

d. Pay As You Earn (PAYE)

Any person dealing in the wholesale and retail sector who offers employment is required to be registered for Pay As You Earn (PAYE). Employment refers to a;

- Position of an individual in the employment of another Person
- Directorship of a company, a position entitling the holder to a fixed or ascertainable remuneration.
- Holding or acting in a public office.

Employment income includes gross income received in the form of: salary, leave pay, payment in lieu of leave, overtime pay, fees, commission, gratuity, bonus, allowances (entertainment, duty, utility, welfare, housing, medical, sitting, transport, or any other allowances).

Benefits in kind include use of the employer's office motor vehicle for personal errands, free accommodation, use of a driver, domestic workers, and free utilities (power, water) paid by the employer on behalf of the employee. The benefits in kind are computed using particular formulae in the 3rd Schedule of the Income Tax Act.

PAYE is tax withheld from all employees earning a employment income above the stated threshold as per the Income Tax Act and filed by the employer to URA by the 15th of the following month.

PAYE tax rates for Resident individuals

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 235,000 Per Month.	Nil
Exceeding Ushs. 235,000 but not exceeding Ushs. 335,000 per month	$(CY - 235,000UGX) \times 10\%$
Exceeding Ushs. 335,000 but not exceeding Ushs. 410,000 per month	$(CY - 335,000UGX) \times 20\% + 10,000UGX$
a) Exceeding Ushs 410,000 per month	a) $(CY - 410,000UGX) \times 30\% + 25,000UGX$
b) Above Ushs.10,000,000 per month	b) $[(CY - 410,000UGX) \times 30\% + 25,000UGX] + [(CY - 10,000,000UGX) \times 10\%]$

PAYE tax rates for Non-Resident individuals

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.335,000 per month	10%
Exceeding Ushs.335,000 but not exceeding Ushs.410,000 per month	$(CY - 335,000UGX) \times 20\% + 33,500 UGX$
a) Exceeding Ushs.410,000 per month	a) $(CY - 410,000UGX) \times 30\% + 48,500 UGX$
b) Above 10,000,000	b) $[(CY - 410,000UGX) \times 30\% + 48,500UGX] + [(CY - 10,000,000UGX) \times 10\%]$

Illustration 1

Kamude is employed at Kibinge Farm and earns a monthly salary of UGX 200,000. Is Kibinge Farm obliged to deduct PAYE from Kamude's salary?

Solution

No, because Kamude's monthly salary is less than the threshold (235,000), so His salary does not attract PAYE.

Illustration 1

Kamude's monthly consolidated pay includes a monthly salary of 200,000, transport allowance of UGX 75,000, and medical allowance of UGX 95,000. Calculate his Pay as You Earn:

Solution

Gross Employment Income: UGX.

Salary	200,000
Traveling allowance	75,000
Medical allowance	95,000
Total	370,000

His gross employment income lies in category three, and thus we shall use the rates in the third bracket, i.e.

Exceeding UGX 335,000 but less than UGX 410,000 (10000 + 20% of the amount by which chargeable income exceeds UGX 335,000)

- Chargeable income = UGX (370,000 - 335,000)35,000
- PAYE to be deducted = 10,000 + 20%35,000.....17,000/=

2. VALUE ADDED TAX (VAT)

VAT is an indirect tax on consumption charged on value added to taxable supplies at different stages in the chain of distribution.

Taxable supplies are goods or services supplied by a taxable person i.e. persons registered or required to register for VAT purposes. Taxable supplies are not exempt and can either be: Standard-rated at

18% VAT or Zero-rated at 0% VAT.

The threshold for VAT registration is Shs. 37.5 million in any 3 consecutive months or the annual turnover of Shs.150 million of taxable supplies.

Please note: Commercial farmers and those in agri business, dealing in taxable supplies with a gross turnover above 150 million, are required to register for VAT.

Voluntary Registration for VAT

The Commissioner General shall register a person in commercial agriculture who applies for registration and issue to that person a certificate of registration, including the VAT registration number (TIN) unless the Commissioner General is satisfied that;

- a. A person has a fixed place of abode or business; or
- b. The Commissioner General has reasonable grounds to believe that that person:
 - Will keep proper accounting records relating to any business activity carried on by that person;
 - Will submit regular and reliable tax returns as required by Section 31; or
 - Is a fit and proper person to be registered

Some transactions are beyond the scope of VAT, and these are classified as Exempt supplies. Supplies on which VAT is charged at 0% are classified as zero-rated supplies.

Illustration

Bukwo Cotton Farmers sold 10 tons of cotton to Brad Ginnery at UGX 7,000,000. Brad, a cotton ginner, sold 10 tons of lint cotton to Greek Textiles at UGX 10,000,000. Greek textiles produced bedsheets out of cotton and sold them to Kiyembe Ltd (a retailer) at UGX 17,500,000. Kiyembe Ltd sold all the bedsheets to various customers, and total sales were UGX 22,500,000.

Note: All figures are exclusive of VAT, and the VAT rate applicable is 18%. Determine the total VAT payable through the process

Solution:

Stage / Dealer	Cost Price (C.P)	Selling Price	Input Tax IT (18% * C.P)	Output Tax	URA Account
	UGX	(S.P)	UGX	(18% * S.P)	(OT - IT)
		UGX		UGX	UGX
Bukwo Farm		7,000,000		-	-
Brad Ginnery	7,000,000	10,000,000	-	-	-
Greek Textiles	10,000,000	17,500,000	-	3,150,000	3,150,000
Kiyembe Ltd	17,500,000	22,500,000	3,150,000	4,050,000	900,000
Final Consumer	22,500,000	-	4,050,000	-	-
Total VAT to URA					4,050,000

Note

Bukwo Cotton Farmers do not have any VAT to remit to URA since they sell raw cotton

(unprocessed) to the ginnery; however, Cotton (Lint cotton) is exempt from VAT, hence Brad Grinnery has no VAT to remit to URA. VAT starts from Kiyembe Limited, selling to the final consumers.

If Bukwo is into commercial farming, then they would go ahead to claim a refund of VAT on any inputs. The total VAT is remitted to URA by the players in the value chain.

Issuing electronic receipts and invoices through EFRIS

EFRIS is the Electronic Fiscal Receipting and Invoicing Solution, which enables businesses to record transactions in real time. It entails issuing e-invoices and or e-receipts to customers.

Issuance of EFRIS documents

All VAT-registered taxpayers must use EFRIS to issue e-invoices. No tax credit is allowed or claimable on purchases unless they are supported by e-invoices.

- All VAT-registered taxpayers are obliged to register for EFRIS and issue fiscalized invoices i.e. e-invoices. The Electronic Fiscal Receipting and Invoicing Solution (EFRIS) is a new smart business solution used to record business transactions and share the information with URA in real time.
- An e-invoice shows that a sale has occurred through EFRIS. It shows the seller's details, URA information, Buyer's details, Goods and services details, Tax details, and summary sections.

e-Invoicing or e-Receipting Platforms

- EFRIS Mobile Application (On Mobile Smartphones)
- Electronic Fiscal Device (EFD)
- The Desktop (Client Application)
- The URA Web Portal
- System-to-System Integration
- Electronic Dispenser Controller (EDC)

Benefits of EFRIS to a business

EFRIS

- Enables the business owner to monitor and track stock
- Makes it easy and convenient to monitor business, anywhere you are, at any time
- Helps you know the correct amount of VAT you are to pay in a given period.
- Reduces the risk of physical data loss as transactional data because copies are digitally stored in the system
- Eases VAT return filing by utilizing prefilled VAT returns

Penalties for non-compliance to EFRIS

A VAT-registered taxpayer who does not adopt the use of EFRIS, is liable to pay a penal tax equivalent to double the tax due on the goods or services.

3. CUSTOMS DUTIES

These are taxes which are charged on all goods entering or leaving our country. The taxes charged depend on the Value and nature of the item imported. Customs value means the value of imported goods for the purposes of levying ad valorem Customs duties and taxes.

- For Goods imported using road, rail, and marine transport modes, the Customs value is composed of the Price for the goods, the cost of insurance, and freight.
- While for goods imported using air transport, the Customs value is composed of the price for the goods and the cost of insurance. Freight is not included for goods transported by air.

The customs value is used as the basis for calculating customs duties.

Composition of Customs value

The customs value will include the following;

- Cost of the goods free on board a transport vessel in the country of export.
- Freight charges up to the place of importation if the goods are transported by road, rail or Sea.
- Loading, unloading, and handling charges associated with transport of goods to the place of importation; and
- The cost of insurance.

Other charges comprising customs value include,

- Pre-shipment inspection
- Charges such as Commissions and brokerage, cost of containers, packing costs, assists, royalties and license fees
- Packing costs

Steps followed when computing customs duties

- Step 1: Determine Customs Value (CV);
- Step 2: Convert the Customs Value to Local Currency (UGX);
- Step 3: Classify the item (HSC) as per the common external tariff;
- Step 4: Determine taxes collectable
- Step 5: Apply the duty rates on the Customs Value

Customs duties comprise of:

- a) Import duty:** This is a tax collected on imports and some exports not listed in the exemption schedule by URA. It is based on the customs value of the goods that are imported. The customs value is Cost, Freight, and Insurance up to Mombasa or cost and insurance if by Air. The rate of import duty is either 0%, 10%, 25% or more for sensitive items like wheat and powdered milk.

NB. For more information on import duty rates, please refer to our common external tariff book on the portal.

How to calculate import duty

$$\diamond \text{ Import Duty (ID)} = \text{ID rate} \times \text{Customs value}$$

- a) Excise duty at Importation:** This tax is only charged on specific goods imported at varying rates.

How to calculate excise duty

$$\diamond \text{ Excise duty (EXD)} = \text{EXD value} \times \text{EXD rate} = (\text{ID} + \text{Customs value}) \times \text{EXD rate}$$

- b) VAT at importation:** This is a tax on consumption charged on taxable goods imported into

the country and is charged at a rate of 18% if the importer is registered for VAT and at 15% on the 18% of the value if the importer is not registered for VAT but importing taxable goods of a value of UGX 4,000,000 and above.

NB. If the importer is registered for VAT, he/she can claim any VAT incurred at importation through her/his monthly VAT returns.

How to calculate VAT at importation

- ❖ $\text{VAT} = \text{VAT value} \times 18\% = (\text{ID} + \text{EXD} + \text{CV}) \times 18\%$
- ❖ $\text{Domestic VAT} = 15\% (\text{VAT value} \times 18\%) = 15\% ((\text{ID} + \text{EXD} + \text{CV}) \times 18\%)$

c) Withholding Tax (WHT) at importation: This is income tax withheld at the importation of a good. It is at a rate of 6% of the customs value. It can be claimed by the importer when he/she is filing his/her final income tax return as advanced tax already paid.

NB. If the importer is exempted from WHT, he/she should not be charged this tax at importation

How to calculate WHT at importation

$\text{WHT} = \text{Customs value} \times 6\%$

d) Infrastructural levy: This levy is only applicable to dutiable items imported from outside EAC Region.

Note: The following will not attract the 1.5% Infrastructure Levy

- (i) Items that are at 0% Import duty rate
- (ii) All items imported under conditional Exemptions as indicated in the 5th Schedule of the EACCMA (East African Community Customs Management Act)

Formulae for calculating the infrastructure levy

$\text{IL} = \text{Customs value} \times 1.5\%$ Where; IL=Infrastructural levy

e) Environmental levy: This is a tax levied on imports that may be harmful to the environment, for example, on used clothes and used vehicles.

Formulae for calculating the infrastructural levy

$\text{EL on used clothes} = \text{Customs value} \times 10\%$

$\text{EL on used vehicles of YOM between 5 and 10 years} = \text{Customs value} \times 35\%$ $\text{EL on used vehicles of YOM 10 years and above} = \text{Customs value} \times 50\%$

Where; EL= Environmental levy

Computation of Customs duties

Illustration

Kenya imported farm supplies worth 2,000 dollars, paid 200 dollars for insurance and 300 dollars as freight charges up to Mombasa and the exchange rate is 1 dollar = 3,600 shilling.

Step I

$\text{Customs Value} = \text{Cost} + \text{Insurance} + \text{Freight}$

$$\begin{aligned}
 &= \text{Cost} + \text{Insurance} + \text{Freight} \\
 &= 2000 + 200 + 300 \\
 &= 2500
 \end{aligned}$$

Step II

$$\begin{aligned}
 \text{Customs Value} &= \text{Customs value} \times \text{Exchange rate} \\
 &= 2500 \times 3600 \\
 &= 9,000,000
 \end{aligned}$$

Step III

Determine the taxes.

Import duty = 25%, VAT = 18%, Withholding Tax = 6%

Import Duty

$$\begin{aligned}
 &25\% \text{ of } 6,250,000 \\
 &= 25/100 \times 9,000,000 \\
 &= 25/100 \times 9,000,000 \\
 &= 2,250,000
 \end{aligned}$$

VAT

$$\begin{aligned}
 &18\% \text{ of } (\text{Customs Value} + \text{Import Duty}) \\
 &= 18\% \times (9,000,000 + \text{Import Duty}) \\
 &= 18\% \times (9,000,000 + 2,250,000) \\
 &= 18/100 \times 11,250,000 \\
 &= 2,025,000
 \end{aligned}$$

WHT

$$\begin{aligned}
 &6\% \text{ of Customs Value} \\
 &= 6\% \times 9,000,000 \\
 &= 6/100 \times 9,000,000 \\
 &= 540,000
 \end{aligned}$$

INFRASTRUCTURAL LEVY = 1.5% of Customs Value

$$\begin{aligned}
 &= 1.5\% \text{ of customs value} \\
 &= 1.5\% \times 9,000,000 \\
 &= 135,000
 \end{aligned}$$

TOTAL TAXES = Import duty + VAT + WHT + Infrastructural Levy

$$= 2,250,000 + 2,025,000 + 540,000 + 135,000 = 4,950,000$$

NOTE:

- a) The currency for customs value is Uganda Shillings

TAX INCENTIVES AVAILABLE IN THE AGRICULTURE SECTOR

To ensure that agriculturalists get a fair return on investment, the Government of Uganda has continued to prioritize the sector, and over the years, many incentives have been introduced to boost the sector development, and these include;

What are the tax incentives under domestic taxes?

Beneficiary	Incentives	Period of Incentive	Conditions for the Tax Incentive
All business startups with a capital of less than 500 million	Exemption from income tax for three (3) years	three (3) years	Business established by a citizen after 1 st July 2025, provided all the following conditions are met: 1. The business is registered with an investment capital not exceeding five hundred million shillings (UGX 500 million) 2. The citizen or their associate has not previously benefited from the exemption. 3. The citizen files a tax return, including a business information return in the format prescribed by the Commissioner General.
Private employers	Deduction of 2% of Income tax payable	Indefinite	Proof that 5% of their employees on a full-time basis are persons with disabilities.
Compliant taxpayers	6% WHT exemption on payment for goods and services and professional fees	12 months renewable	Where the Commissioner is satisfied that the taxpayer has regularly complied with the obligations under the tax laws
Agricultural supplies	Exemption from 6% withholding tax	Indefinite	Agricultural supplies are not subject to withholding tax

VAT			
Agriculture industry	VAT exemption on the following supplies; • Animal feeds • Mixed components such as eggshells, feed additives, wheat bran, maize bran, concentrates, seed cake, and premixes. • Crop extension services, irrigation works, and sprinklers, • Machinery, tools and implements suitable for use only in agriculture • Agricultural insurance premium or policy • Livestock, unprocessed foodstuffs, and unprocessed agricultural products except wheat grain • Veterinary goods and services • Royalties paid in respect of agricultural technologies • Processed milk.	Indefinite	Supply of the listed agricultural supplies
	Zero rate of VAT on the supply of seeds, fertilizers, pesticides, and hoes	Indefinite	Supply of the listed agricultural supplies
VAT Registered taxpayers	VAT-registered persons claim all the VAT incurred on taxable supplies made to them where the supply or import is for use in the business of the taxable person.	Indefinite	VAT registration Supply is for use in the business, generating taxable supplies
Commercial farmers	VAT registration and claim of input VAT incurred on taxable supplies made to the commercial farmer	Indefinite	Must be engaged in commercial farming
STAMP DUTY			
Persons engaged in the agricultural sector	NIL stamp duty on agricultural insurance policies	Indefinite	Agricultural insurance policies

CUSTOMS INCENTIVES

	Description	Tax incentive
	Hoes A hoe is a long-handled gardening tool with a thin metal blade, used mainly for weeding and breaking up soil.	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Ploughs, Harrows, seeders, planters and transplanters, manure spreaders and fertilizer distributors	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Agricultural sprayers	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Fertilizers A fertilizer is any material of natural or synthetic origin (other than liming materials) that is applied to soils or to plant tissues (usually leaves) to supply one or more plant nutrients essential to the growth of plants	• Exempted from all taxes under the 5th Schedule of the East African Community Customs Management Act, 2004 upon approval by the Ministry of Agriculture, Animal Industry and Fisheries.
	Refrigerated Trucks	• Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.

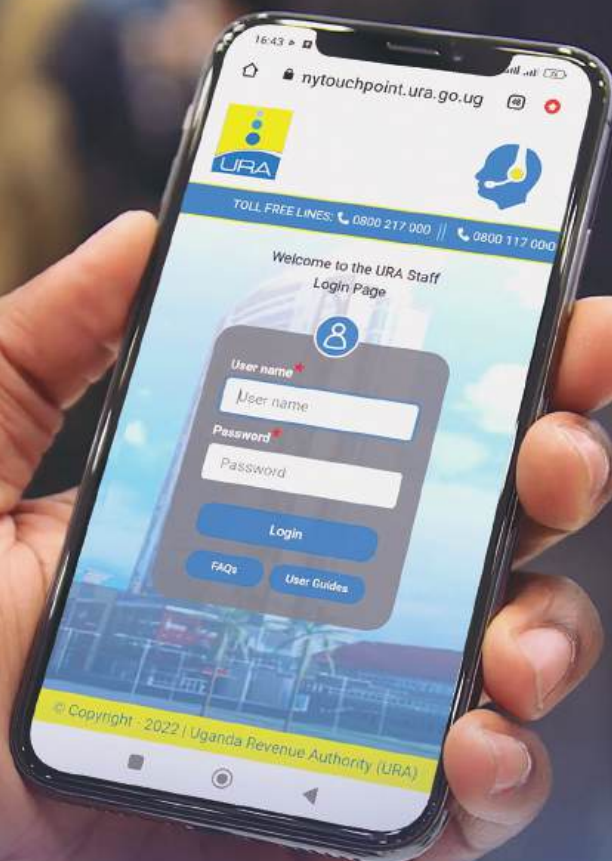
	Agricultural chemicals (fungicides and pesticides)	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Veterinary Chemicals (Acaricides)	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Agricultural Tractors	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Aluminum Cans for the dairy industry	• Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.
	Imported inputs and implements by persons engaged in horticulture, agriculture or floriculture and aquaculture sector e.g. hatching eggs, day old chicks, semen, fish eggs, Fry/ fingerling (young fish), seeds, green houses/ materials used in construction of green houses, flower cuttings, incubators, hatcheries, etc.	• Exempted from all taxes when imported by persons engaged in horticulture, agriculture, aquaculture or floriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.

	Poultry parent stock imported by persons engaged in poultry farming. A broiler and layer breeder farms raise parent stock which produce fertilized eggs. A broiler/layer hatching egg is never sold in shops and is not meant for human consumption but for hatching into day old chicks.	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Seeds for sowing, spores and cut plants A seed is an embryonic plant enclosed in a protective outer covering.	• Exempted from all taxes under fifth schedule of the East African Community Customs Management Act, 2004 upon approval by Ministry of Agriculture Animal Industry and Fisheries.
	Breeding animals Breeding stock is a group of animals used for the purpose of planned breeding.	• VAT Exempted when imported by dealers under the VAT Act. • Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Preparations for cleaning Dairy apparatus Example PFANZITE POWDER DAIRY DETERGENT. Pfanzite is a highly chlorinated, powdered manual cleaner designed especially for cleaning bulk tanks, the Surge bucket milker and utensils.	• Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.
	Fish, Crustaceans and Molluscs, fresh (dead or live) chilled or frozen caught and landed by canoes or vessels registered and based in a Partner State	• Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004.

	Feeds for Poultry and Livestock Poultry Feed is food for farm poultry, including chickens, ducks, geese and other domestic birds. Modern feeds for poultry consist largely of grain, protein supplements such as soybean oil, meal, mineral supplements, and vitamin supplements	• VAT Exempted when imported by dealers under the VAT Act. Exempted from all taxes when imported by persons engaged in agriculture under the 5th Schedule of the East African Community Customs Management Act, 2004.
	Machinery for processing dairy products	• VAT Exempted when imported by dealers under the VAT Act. • Import duty is 0%, under East African Community Common External Tariff VAT Exempted.
	Packing material of any kind designed for packaging goods for export	• Exempted from all taxes when imported with an intention of packaging goods meant for export.
	The supply of irrigation works, sprinklers and ready to use drip lines	• VAT Exempted when imported by dealers under the VAT ACT. Exempted from all taxes when imported by persons engaged in agriculture under the 5th schedule of the East African Community Customs Management Act, 2004

DISCLAIMER:

This information is strictly for creating awareness and providing guidance to our clients. It should not at any one time be used in place of substantive law; and is subject to change on amendment of tax legislation and any other regulations governing tax administration.



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